

09 January Mitigation and Updated Forecast

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Prepared by Fictional borrower finance team

For Scenario Lender D01

SYNTHETIC DEMO. The borrower Duolingo Learning Services LLC and Scenario Lender D01 are invented. No affiliation, subsidiary relationship, guarantee or actual financing by Duolingo Inc is asserted. All loan terms, financial figures, people roles, reports and events in documents 02 to 09 are fictional. Document 01 supplies real business background only.

Period and information date

Reporting period: January 2027. Accounts and cohorts finalized February 10, 2027. Delivered to the fictional lender portal on February 12, 2027 at 10 am New York time. The original credit agreement version 1.0 remains effective. No amendment or waiver is presented. This report adds observed mitigation and a revised forecast; it does not replace the December record.

January observations

Measure	January
Monthly active users in millions	9.8
Opening paid accounts	835100
Accounts due for renewal	70000
Successfully renewed	65100
Eligible trial cohort	70000
Successfully converted	5250
Ending paid accounts	835450
Gross subscription billings in USD millions	12.663000
Subscription revenue in USD millions	12.529125
Total revenue in USD millions	15.679125
Processing fee expense in USD millions	2.505825
Processing fees withheld in USD millions	2.532600
Hosting and AI service in USD millions	3.800000
Other operating expense in USD millions	7.080000
EBITDA in USD millions	2.293300
Opening Unrestricted Cash in USD millions	36.166900
Closing Unrestricted Cash in USD millions	36.804800

The eligible trial and renewal denominators remain 70,000 each. There were no refunds, delayed reinstatements or definition changes. The annual subscription price is unchanged at \$180. Other recognized revenue and receipts are \$3.15m. January gross subscription billings and processing fees withheld reconcile to cash receipts using the same method as December. Cash interest was \$0.45m, estimated cash tax \$0.5125m and capital expenditure \$0.8m. Processor receivables remain \$6.0m. Total bank balances are \$40.8048m including the \$4.0m restricted reserve. Debt remains \$60.0m. January interest was delivered January 29, the last Business Day of the month.

Executed operating measures

An executed fictional vendor addendum dated January 22 reduces the cost of selected service requests through different routing. January paid hosting invoices total \$3.8m; the lower rate applied only after implementation and the full forecast benefit has not yet been observed. The vendor also committed \$1.4m of credits against invoices due before April 2. These are forecast reductions in cash outflow, not cash already in the bank. A separate discretionary campaign worth \$2.2m was cancelled before a binding commitment existed; management retains written cancellation confirmation dated February 5. No contractual termination fee is due.

Forecast revision and limits

The common April 2 cash estimate rises from \$28.6m in the January 15 forecast to \$33.4m in this forecast. The \$4.8m change consists of \$1.4m committed vendor credits, \$2.2m cancelled campaign spending and \$1.2m net higher paid collections through April 2, including the effect of January outturn on the starting balance. The \$1.2m collection adjustment is stated after processing fees and includes all other receipt and starting-balance changes; do not add January's cash improvement a second time. Other forecast assumptions are unchanged for this bridge.

Week ending	Revised forecast cash in USD millions
2027-02-19	36.2000
2027-02-26	35.8000
2027-03-05	35.3000
2027-03-12	34.8000
2027-03-19	34.2000
2027-03-26	33.8000
2027-04-02	33.4000
2027-04-09	33.7000
2027-04-16	34.1000
2027-04-23	34.5000
2027-04-30	34.9000
2027-05-07	35.2000
2027-05-14	35.6000

This is the first delivered forecast with every week at or above \$32.0m. The prior February 5 refresh still had a low point of \$31.8m. Forecasts dated January 22, January 29 and February 5 were delivered on those dates before 5 pm; this February 12 delivery is the next scheduled refresh. No shareholder distribution or new discretionary expansion commitment has been made. The analyst must apply C05's reporting exit condition separately from the improved forecast.

January is one month of recovery. Management does not establish that trial conversion has sustainably returned to the 8.00% original assumption. Hosting invoices remain above the \$3.15m base case. No controlled attribution study establishes that competition caused December's decline or that the operating changes caused January's recovery. Annual renewal cohorts, billings and costs should continue to be reviewed together.